

INTRODUCTION TO MUTUAL FUNDS

- Through this session we are going to learn about
 - ❖ What is a mutual fund?
 - ❖ Why choose mutual funds?
 - ❖ Who runs a mutual fund?
 - ❖ Key terminologies (Platforms)
 - ❖ Types of mutual funds (Equity)
 - ❖ Lump sum, SIP, SWP, STP

Mutual Funds

- A mutual fund is a financial vehicle that collects money from many investors and pools it together to invest in a diverse range of assets such as stocks, bonds, gold, or money market instruments.
- A professional fund manager manages this pool to generate returns for the investors.
- Each investor owns units of the fund, representing their share of the total investments.

Mutual Fund & How It Works

- **Collection of funds**
- Many individuals pool their money together into a common fund.
- Think of it like everyone putting coins into one big jar—so even small investors can
- invest in big opportunities



- A professional fund manager takes care of this pooled money.
- They research, analyze, and decide where to invest so the money can grow wisely.



- The fund manager invests the pooled money across different asset classes:
- Stocks (Equities) – potential for high returns
- Bonds (Debt) – safer, steady income
- Gold, Money Market Instruments, or Others – for balance and reduced risk
- Diversification helps spread risk and avoid putting all eggs in one basket.



- Over time, the investments grow in value.
- The Net Asset Value (NAV) of the fund rises, and each investor's share increases.
- This is how your pooled money works for you and grows steadily.



WHY CHOOSE MUTUAL FUNDS

Professional Management

- Your money is handled by expert fund managers who research, analyze, and select the best investments.
- You don't need to study stocks or bonds yourself.

Diversification

- Mutual funds invest in a mix of stocks, bonds, and other assets.
- This spreads risk—your money isn't dependent on the performance of a single company or asset.

Affordability

- You can start with small amounts (as low as ₹500 through SIPs).
- Even small investors can access big market opportunities.

Liquidity

- Most mutual funds allow you to withdraw your money anytime (except for certain locked-in funds like ELSS).
- Easy access to your investment when needed.

Convenience & Transparency

- You get daily updates on NAV (Net Asset Value).
- Statements and portfolio details are easily accessible online.

Potential for Growth

- By investing in a mix of assets, especially equities, your money has the potential to grow faster than traditional savings accounts over the long term.

Who Runs A Mutual Fund?

- Investing in mutual funds may seem simple from an investor's perspective, but behind the scenes, a mutual fund operates within a well-structured framework involving multiple key players.
- Each player has a distinct role to ensure that your money is invested safely, professionally, and in line with the fund's objectives.
- Let's break down the main participants in a mutual fund:

AMC

- A Mutual Fund is created and managed by an Asset Management Company (AMC).
- The AMC is the primary organization responsible for launching different schemes, managing the assets, and ensuring that each fund operates according to its stated objectives.
- Examples of AMCs in India include HDFC Mutual Fund, SBI Mutual Fund, and ICICI Prudential Mutual Fund, while globally, AMCs such as Fidelity and Vanguard perform a similar role.



Fund Manager

- Within the AMC, a fund manager or a team of managers makes the actual investment decisions.
- They research and analyze securities such as stocks and bonds, decide which assets to buy, sell, or hold, and monitor the market to ensure that the portfolio aligns with the fund's goals.
- For instance, an equity fund will focus on stocks, while a debt fund will invest primarily in bonds.



Trustees

- Mutual funds in India are set up as trusts, and trustees act as independent overseers.
- Their responsibility is to protect the interests of investors, supervise the AMC, and ensure that the fund is being managed according to regulations and in line with the objectives promised to investors.



Custodian

- The custodian is a separate entity that holds the fund's securities and assets securely.
- Whether in physical form or digital, the custodian ensures the safety of all assets and manages the settlement of transactions.
- Examples include HSBC, Citibank, and Kotak Mahindra Bank acting as custodians in India.



SEBI

- Finally, the entire mutual fund industry is overseen by a regulatory body, which in India is the Securities and Exchange Board of India (SEBI).
- SEBI ensures transparency, protects investors from fraud, monitors compliance, and enforces rules for fair practice across all mutual funds.



- Now let's understand few key term related to mutual funds.

NAV (Net Asset Value)

- The price of one unit of a mutual fund.
- NAV changes daily depending on the market value of the underlying assets.

Units

- When you invest in a mutual fund, you buy units, which represent your share of the fund.
- The number of units you get = $\text{Investment Amount} \div \text{NAV at the time of purchase}$.

Expense Ratio

- The Annual fee charged by the fund for managing your money.
- Covers fund management, administration, marketing, and other costs.

Exit Load

- A fee charged if you redeem your units before a certain period.
- Discourages short-term trading and protects long-term investors

Types Of Mutual Funds

1. Equity Funds (Stock Market)

These funds invest your money into shares of listed companies. They are categorized primarily by "Market Cap" (the total value of the company).

- **Large-Cap Funds:** Invest in the top 100 established companies. These are the "blue-chip" giants—stable, reliable, but generally offering steadier (rather than explosive) growth.
- **Mid-Cap Funds:** Target companies ranked 101–250. These are mid-sized businesses that have the potential to become tomorrow's giants. They offer higher growth than large-caps but are more volatile.
- **Small-Cap Funds:** Invest in companies beyond the top 250. These are small, emerging businesses. They have the highest growth potential but can be very risky and volatile in the short term.
- **Flexi-Cap Funds:** These are versatile. The fund manager has the freedom to invest across large, mid, and small-cap stocks depending on where they see the best opportunities at that moment.
- **Multi-Cap Funds:** Similar to Flexi-Cap, but they are *required* by regulation to keep a minimum percentage (usually 25% each) in large, mid, and small-cap stocks at all times.

2. Debt Funds (Fixed Income)

These funds lend your money to governments or corporations in exchange for interest. They are generally less volatile than equity and are used for capital preservation.

- **Liquid Funds:** Invest in very short-term instruments (maturing in 91 days or less). Great for parking emergency cash.
- **Corporate Bond Funds:** Invest in high-rated debt issued by companies.
- **Gilt Funds:** Invest exclusively in government securities. They have no "credit risk" (the government won't default), but they are sensitive to changes in interest rates.

3. Hybrid Funds (The Mix of Both)

These funds mix Equity and Debt in varying proportions to provide a "cushion" against market crashes while still capturing some growth.

- **Aggressive Hybrid:** Usually 65–80% equity and the rest in debt.
- **Conservative Hybrid:** Usually 75–90% debt and a small portion in equity.
- **Balanced Advantage (Dynamic Asset Allocation):** The fund manager shifts the ratio between equity and debt automatically based on whether the market is expensive or cheap.

Exchange traded fund (ETF)

An **Exchange Traded Fund (ETF)** is a type of investment fund that pools money from thousands of investors to buy a basket of assets (like stocks, bonds, or gold).

While it functions like a regular mutual fund on the inside, it has one major twist: **it is listed and traded directly on the stock exchange**. This means you can buy and sell ETF units live on your broker app (NSE/BSE) at fluctuating prices throughout trading hours, exactly like a normal stock.

Types of ETFs

1. Index ETFs (Equity)

These funds track a specific stock market index like the Nifty 50, Sensex, or Bank Nifty. The fund automatically buys the exact same stocks in the exact same proportion as the index. If the Nifty 50 goes up 1.5%, your Nifty ETF goes up 1.5%.

2. Gold ETFs (Commodity)

Each unit you buy represents a specific weight of physical, 24-karat gold held in secure, insured bank vaults. It allows investors to buy real gold digitally at live market rates without worrying about making charges, purity, or locker theft.

3. Debt & Liquid ETFs (Fixed Income)

These invest in safe government bonds, corporate debentures, or overnight money market securities. Traders often use Liquid ETFs to park their idle trading cash between setups to earn steady, low-risk interest.

4. Sectoral / Thematic ETFs

These focus exclusively on one specific sector or theme of the economy—such as IT, Pharma, Energy, or Auto. It lets you bet on an entire industry's growth without having to pick individual winning companies.

5. International ETFs

These give you exposure to foreign stock markets using your local trading account. For example, a US Nasdaq ETF collects money in rupees and tracks the top tech stocks listed in America

Methods Of Investments And Withdrawals

Lump Sum Investment

- Investing a large amount of money at one time in a mutual fund.
- **How it works:** For example, if you have ₹1,00,000, you invest it all at once in a chosen mutual fund scheme.
- **Pros:**
 - Immediate exposure to the market.
 - Can generate higher returns if markets rise after investment.
- **Cons:**
 - High risk if the market falls immediately after investing.
 - Requires careful timing, which is difficult for beginners.

SIP – Systematic Investment Plan (A Way of Investing, Not an Investment)

- SIP is a method of investing money regularly in mutual funds, usually monthly or quarterly. It is not an investment itself; the actual investment is in the mutual fund units purchased through SIP.
- **How it works:** You decide a fixed amount (e.g., ₹2,000/month) to invest. This amount is automatically debited from your bank account and invested in your chosen mutual fund. Over time, you accumulate units.

Why SIP Is Useful:

- **Rupee Cost Averaging:** Buys more units when prices are low and fewer when prices are high, reducing average cost per unit.
- **Discipline:** Encourages regular investing without worrying about timing the market.
- **Compounding:** Small amounts invested regularly can grow significantly over the long term.
- **Flexibility:** Can increase, decrease, pause, or stop anytime

SWP – Systematic Withdrawal Plan

- SWP is a method to withdraw a fixed amount regularly from your mutual fund investment.
- **How it works:** Suppose you have ₹1,00,000 in a mutual fund; through SWP, you can withdraw ₹500 every month while leaving the rest invested to continue earning returns.
- **Use cases:**
- Provides steady income after retirement or during financial planning. Helps manage cash flow without selling the entire investment at once.

STP – Systematic Transfer Plan

- STP is a method to transfer a fixed amount regularly from one mutual fund to another, usually from a debt fund to an equity fund or vice versa.
- **How it works:** You invest in a low-risk fund (like debt), and a fixed amount is automatically transferred every month into a higher-risk fund (like equity).
- **Benefits:**
 - Reduces the risk of investing a lump sum in equity all at once.
 - Allows gradual exposure to market movements.
 - Helps in disciplined wealth creation while managing risk.

THANK YOU